HEDGEYE

Tracking #Quad2, Then 1-1!

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> *"You must train yourself to see your track."*
>
> — ***Boyd Varty***

KEY TAKEAWAYS

- Markets reward disciplined execution, not "should" thinking, and the edge comes from reading the Signal, the Quad, and the Risk Range™ together before acting.
- The process stayed adaptive by cutting exposure and raising cash in March and early April, then adding back Quad 2 longs as conditions improved across assets like FXB, HYG, GDX, SLV, and PPLT.
- With the U.S. Monthly Quad Count shifting to 2-1-1-3 through July, the message is to stay macro aware, follow the path of signal strength, and focus on protecting capital first while hunting selectively for alpha.

THE BIG PICTURE

If your track is a chart with a *50-day Moving Monkey* on it, you're not seeing the Hedgeye track. You're not even in the right jungle. And somewhere behind you, the hungry lion is already *Quad Shifting!*

Varty makes a point in ***The Lion Tracker's Guide to Life*** that no Old Wall compliance manual will ever put in writing: *"No wild animal has ever participated in a should."*

Should I cover this Short? Should I wait for more confirmation? Should I see how earnings play out? The lion doesn't should. It tracks. It sees. It executes.

Yesterday was Day 2 of a ***#Quad2 Buying Opportunity***. You were either covering stale *#Quad3 Consumer Shorts* and buying *#Quad2 Longs* — or you were having a very "thoughtful" intellectual debate about dinner reservations.

Track awareness, as Varty defines it, is the ability to read the entire field simultaneously: *"You must train yourself to see what you are looking for… you have to learn to follow a deeper, wiser, wilder place inside yourself. Everything in the natural world knows how to be itself. We are part of that nature."*

The Signal is the track. *The Quad* is the terrain. The ***Risk Range™*** is the field. Train yourself to see all three at once — and you stop debating and start moving your hard-earned capital.

MACRO GRIND

I don't know about you, but my *Fam's Long Only Account* peaked (all-time high that took 27 years to build *The Pile* up to) on February 27th. We're getting hungry for some alpha!

The best way to recapture all-time highs is to not only trust your process but *act on it aggressively WHEN The Signals tell you to act*. On that front, I added ***5 new Core Asset Allocations*** to the Fam's book (see ***Portfolio Solutions***) yesterday:

1. British Pounds (FXB)
2. High Yield Bonds (HYG)
3. Gold Miners (GDX)
4. Silver (SLV)
5. Platinum (PPLT)

So yeah — we're going to eat this morning. But daily satisfaction isn't what a *#GoAnywhere Diversified Portfolio* is built for. Mine is only -2.2% off its all-time highs, fyi.

Here's the timestamped track of how the process executed:

1. Fully invested December through February in what we'd called — a Quad Count ending in ***#Quad1 Goldilocks***
2. Went from MAX 30 ETF Asset Allocations in early March down to 18 by early April (getting to > 40% CASH!)
3. As of yesterday's adds, the book is back up to 25 Longs — and I'm hunting for 5 more

What are the next 5? I don't know yet. There are more like 1,005 ETFs I'd buy on *Signal Strength* right now. But the lion doesn't chase. It waits. It watches. It moves when the track says move — not when the urgency "feels" right.

I have no idea what the next 5 investments will be. I know exactly how I'll make those decisions when the time comes.

That's the whole difference between those who rely on "prediction" vs. what we do – execute on our *process.*

What were the ***5 existing #Quad2 ETF Asset Allocations*** I made before the ones I made this week?

1. Soybeans (SOYB) which are up another +0.7% this morning
2. Mexico (EWW) which I went big in yesterday (you know I go big when I hit a Macro ETF in Real-Time Alerts!)
3. Bitcoin (IBIT) which is ramping to fresh new #Quad2 Cycle Highs this morning
4. Hong Kong (EWH) which was on sale with China's economic Quad Count at 2-2-1 for the next 3 quarters
5. US Industrials (XLI) which is one of the best Sector Styles to own in Quads 1 & 2

Did I say ***#Quad1***? Yep.

My Senior Partner in Lion Tracking — Josh Steiner — sent a critical ***Quad Update*** to our Institutional and *Macro Pro* subscribers yesterday. ***New MONTHLY #Quad1 for May.***

The *USA Monthly Quad Count is now 2-1-1-3* from here through July, with July being the #Quad3.

Sometimes I like to be the lion. Steiner's usually the tracker. Together we cover the terrain. If you don't know what to do with that *Quad Sequence* — or what it means for your portfolio — we'd be happy to get on a call and coach you through it.

Think of it as your own custom Safari. The *Mucker Fam Safari* has 2 rules:

A. **Rule #1:** Don't get eaten
B. **Rule #2:** Stay on the *Signal's* path and stay *Macro Aware* of the *Quad* terrain

Everything else is just tourist noise in the tall grass.

OUR LEVELS

UST 10yr Yield 4.23-4.35 (bullish)

High Yield (HYG) 79.93-80.81 (bullish)

Investment Grade (LQD) 109.2-110.5 (bullish)

SPX 6821-7215 (bullish)

NASDAQ 22,963-24,972 (bullish)

RUT 2628-2825 (bullish)

Tech (XLK) 145-160 (bullish)

Oil & Gas Stocks (XOP) 157-173 (bullish)

Utilities (XLU) 44.34-46.34 (bearish)

Telecom (XTL) 211-227 (bullish)

VIX 17.12-21.53 (bearish)

USD 97.69-98.74 (bearish)

Oil (WTI) 83.86-102.56 (bullish)

Nat Gas 2.55-2.83 (bearish)

Gold 4,701-4,873 (bullish)

Copper 5.83-6.25 (bullish)

Silver (SLV) 75-83 (bullish)

Best of luck out there today,

KM

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